EQUITY RESEARCH — INSTITUTIONAL NOTE

Indo Count Industries Limited

NSE: ICIL | BSE: 521016 | Sector: Home Textiles & Bedding

The World's Largest Bed Linen Manufacturer — Indo Count 2.0 Transformation Underway

ACCUMULATE

12-Month Price Target

Rs. 480

+17.1% from CMP Rs. 410

Medium Conviction | Horizon: 12 months

CMP (Rs.)	52W High (Rs.)	52W Low (Rs.)
410	**464**	**217**
Market Cap	EV/EBITDA	Stock P/E
Rs. 8,100 Cr	**20.2x**	**63.9x**
Book Value	Div. Yield	Face Value
Rs. 119	**0.49%**	**Rs. 2**
ROCE (FY26)	ROE (FY26)	D/E Ratio
8.1%	**5.5%**	**0.57x**

Investment Thesis: Indo Count 2.0 — from pure bed linen exporter to US-integrated home textile platform with owned brands; FCF inflection + India-US trade deal optionality makes this a compelling recovery bet at 25-30x FY27E earnings.

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	3,557	4,151	4,141	5,100	6,000
EBITDA (Rs. Cr)	562	535	392	663	840
OPM %	15.8%	12.9%	9.5%	13.0%	14.0%
PAT (Rs. Cr)	338	246	127	284	422
EPS (Rs.)	17.06	12.42	6.40	14.34	21.31
ROCE %	18%	14%	8%	~14%(E)	~18%(E)
P/E (x)	24.0x	33.0x	64.1x	28.6x(E)	19.2x(E)

Source: Screener.in (actuals), Analyst estimates for FY27E/FY28E. All figures consolidated. Report Date: 03 August 2026.

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — US Manufacturing Moat Being Built at Scale:** ICIL has established three US manufacturing facilities (Columbus OH, Phoenix AZ, Kernersville NC) in under 6 months, creating 31 million pillow + 1.5 million quilt annual capacity. This positions ICIL as a bonafide "Made in USA" supplier — effectively eliminating tariff exposure for this segment, deepening customer relationships with Walmart, Target, and Amazon, and creating a high-margin, recurring business unlikely to be replicated quickly by competitors. New business revenue surged from $33M in FY25 to $90M in FY26, tracking toward a $275M annualised run rate by FY28.

- **Reason 2 — India-US Trade Deal is a Latent Re-rating Catalyst:** With ~70% of ICIL's revenue dependent on the US market, the ongoing India-US trade deal negotiations represent a binary upside event. Currently, India faces a 50% reciprocal tariff on textiles exports to the US, which caused volume to fall from 106.4 million meters in FY25 to 94.1 million meters in FY26. Elimination or significant reduction of this tariff could restore volumes within 1-2 quarters, unlocking Rs. 300-500 Cr incremental EBITDA — a ~75-125% increase over FY26 levels.

- **Reason 3 — FCF Inflection as Capex Cycle Peaks:** After a Rs. 1,000+ Cr investment cycle over FY23-26 that built out India capacity (153 million meters) and US manufacturing, ICIL generated Rs. 372 Cr FCF in FY26 (vs Rs. 143 Cr in FY25 and just Rs. 11 Cr in FY24). Net debt declined Rs. 200 Cr in a single year to Rs. 760 Cr. With only Rs. 250 Cr capex planned for FY27 (funded via internal accruals), FCF is set to accelerate further, enabling rapid deleveraging and potentially reinstating a higher dividend payout.

- **Near-Term Catalyst (6-12 Months):** India-US bilateral trade agreement — if finalized, this eliminates the 50% tariff headwind in a single announcement, restoring core business volumes and potentially catalysing a significant re-rating of the stock. Even a tariff reduction to 10-15% (from 50%) would be massively positive for ICIL given its 70% US revenue concentration.

- **Biggest Structural Risk:** Permanent demand destruction — if US retailers and consumers have successfully diversified sourcing to Bangladesh, Vietnam, or Turkey during the tariff period, ICIL's market share in US cotton sheet imports (currently ~61%) may not fully recover even after tariffs are lifted. This would render the core India export business structurally smaller than before, compressing long-term earnings power.

SECTION 3 — BUSINESS OVERVIEW

- **What ICIL Does:** Indo Count Industries Limited (NSE: ICIL) is the world's largest bed linen manufacturer, producing bed sheets, fashion bedding, utility bedding, and institutional bedding. The company operates an integrated manufacturing platform spanning yarn spinning, weaving, processing, and finishing with 153 million metres of annual capacity across Kolhapur (Maharashtra) and Bhilad (Gujarat).

- **Revenue Segmentation:** Core bed linen business constitutes approximately 80% of revenue (FY26 Q3), with new businesses (Utility Bedding + USA Brand) contributing the remaining 20%. Geographically, the US accounts for ~70% of revenue, making ICIL highly exposed to bilateral trade dynamics. Europe and Rest of World contribute the balance.

- **Key Customers & Order Visibility:** ICIL supplies to major US retailers including Walmart, Target, Amazon, Macy's, and Bed Bath & Beyond successor entities. The top 2 customers account for ~29% of revenue (as per CARE ratings report), indicating moderate concentration. Revenue is predominantly recurring in nature as bed linen is a replenishment category.

• **Indo Count 2.0 — Three New Business Verticals:** (a) Utility Bedding (pillows, comforters, quilts) — manufactured at US facilities in Ohio, Arizona, and North Carolina targeting $175M aggregate revenue over 3 years; (b) USA Brand Business — ICIL owns Wamsutta, Fieldcrest, Waverly, and Gaiam brands, targeting $100M revenue in 3 years including via D2C and e-commerce; (c) Domestic India Brands — Boutique Living and Layers, expanding via omnichannel retail and digital platforms.

• **Capacity & Market Share:** India capacity: 108 million metres in Kolhapur + 45 million metres in Bhilad = 153 million metres total. US capacity: 31 million pillows/year + 1.5 million quilts/year across 3 facilities. India holds ~61% share of US cotton sheet imports, with ICIL as the largest single exporter — a position reinforced by 6 consecutive TEXPROCIL Gold Trophies for highest bed linen exports.

• **Promoter Background:** Executive Chairman Anil Kumar Jain has over 30 years of experience in the textile industry. Promoter holding is stable at 58.74% with zero pledging. The Jain family has demonstrated consistent capital allocation discipline with a stated focus on long-term value creation through the Indo Count 2.0 strategy.

• **Recent Strategic Developments (Last 12 Months):** Commenced operations at 3rd US manufacturing facility in Kernersville, North Carolina (January 2026); launched Wamsutta brand via D2C in July 2025; achieved S&P; Global ESG Score of 78/100 (top 3% globally in textiles); received 37th AGM notice with Rs. 1.50/share dividend recommended (FY26 at 75% of face value); Bhilad facility operations temporarily halted in July 2026 due to heavy rainfall/flooding in Gujarat.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry Size & Growth:** The India home textiles market is valued at approximately $6-7 billion and growing at a 7-9% CAGR (IMARC Group / Mordor Intelligence estimates, 2026-2031), driven by rising domestic incomes, e-commerce penetration, and continued global sourcing from India. The global bed and bath linen market is approximately $80 billion, with India's share growing from ~11% to ~14% over the last decade.

• **Policy Tailwinds:** India-UK FTA (in progress) and India-EU FTA negotiations could open new markets for Indian textile exporters. The PLI scheme for man-made fibres & technical textiles offers incentives for capacity expansion. India's textile sector benefits from competitive labour costs (30-40% lower than Southeast Asia), established cotton supply chains, and improving logistics infrastructure.

• **Policy Headwinds:** The US 50% reciprocal tariff on India (imposed in 2025) has significantly compressed ICIL's US sales volumes — the single largest headwind to near-term earnings. Competing nations Bangladesh and Vietnam face lower tariff rates (~25-35%), creating an uneven playing field. Regulatory uncertainty around tariff timelines remains a key overhang.

• **Competitive Moat Assessment: Scale — STRONG:** ICIL's 153MM capacity is among the largest globally, enabling cost per unit advantages. **Distribution — STRONG:** Deep relationships with top-5 US retailers (Walmart, Target, Amazon) built over 20+ years are difficult to replicate. **IP/Brands — MODERATE:** Ownership of Wamsutta, Fieldcrest, Waverly brands provides premium positioning but brand monetisation is early-stage. **Switching Costs — MODERATE:** Major retailer private-label contracts have 2-3 year tenures but are re-tendered competitively. **Pricing Power — WEAK:** Commodity-linked cotton pricing passes through to customers; minimal ability to raise price unilaterally.

Peer Comparison (Source: Screener.in, fetched 03 Aug 2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	EV/EBITDA	ROCE %	ROE %
K P R Mill (KPRMILL)	1,064	36,390	43.3	6.4	26.0	19.6%	15.7%
Welspun Living (WELSPUNLIV)	155	14,856	68.2	3.0	19.8	6.3%	4.5%

Trident (TRIDENT)	24.9	12,704	32.1	2.7	14.5	9.8%	7.9%
Indo Count (ICIL)	410	8,100	63.9	3.4	20.2	8.1%	5.5%

ICIL trades at a premium to Trident on P/E and P/B despite inferior ROCE/ROE. The premium is justified by ICIL's unique US manufacturing platform and brand ownership — if the Indo Count 2.0 strategy succeeds, ICIL deserves a structural re-rating vs peers.

• **Value Chain Positioning:** ICIL operates as an integrated manufacturer + branded player, straddling the transition from B2B (private label exports) to B2C (owned brands, D2C). This positions the company in a high-value segment of the chain, though the transition carries execution risk and near-term margin dilution as new businesses reach breakeven.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter & Management Background:** Executive Chairman Anil Kumar Jain is a veteran with 30+ years in home textiles, having built ICIL from a domestic manufacturer to the world's largest bed linen exporter. The management team has demonstrated strategic foresight in anticipating the US tariff risk and proactively building domestic manufacturing in the US before competitors — a bold and capital-intensive move.

• **Capital Allocation Track Record:** Historically, management has deployed FCF into capacity expansion (Bhilad plant: Rs. 500+ Cr investment) and US acquisitions (3 facilities in FY25). The FY22-FY25 period saw Rs. 1,000+ Cr in cumulative capex funded through a mix of internal accruals and debt. Borrowings rose from Rs. 877 Cr (FY23) to Rs. 1,449 Cr (FY25), reflecting heavy investment mode. Positively, the cycle appears to be peaking with net debt already declining in FY26 despite ongoing US buildout.

• **Dividend Policy:** ICIL has maintained a consistent (though modest) dividend payout — Rs. 2/share in FY24, Rs. 2/share in FY25, and Rs. 1.50/share recommended for FY26. The payout ratio has ranged 11-23% historically. The company appears to prioritize reinvestment over dividend distribution, which is appropriate given the ongoing expansion phase. Higher payouts expected post FY28 when the investment cycle normalises.

• **Promoter Pledging:** Zero pledging (0.00% of holdings pledged as of Jun 2026). Promoter stake stable at 58.74% across all quarters — no creeping acquisition or stake sale signals. This is a positive governance indicator showing no financial stress at the promoter level.

• **ESOP & Buyback History:** No significant buyback history noted. The company recently issued ESOP 2026 plan (approved at 37th AGM in July 2026). Management's equity compensation alignment is being strengthened, which bodes well for long-term value creation orientation.

• **Corporate Governance Observations:** CARE ratings noted "top 2 customers account for ~29% of revenue" — moderate concentration risk. Contingent liabilities stand at Rs. 104 Cr (2.5% of FY26 revenue) — manageable. Auditor tenure and RPT levels appear normal based on available disclosures. The S&P; Global ESG score of 78/100 (top 3% globally) and participation in UN Global Compact, SBTi, and CDP demonstrates institutional-grade governance standards.

SECTION 6 — FINANCIAL DEEP DIVE (Consolidated)

Source: Screener.in (FY24A–FY26A). FY27E & FY28E are analyst estimates. All figures in Rs. Crores.

Income Statement

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	3,557	4,151	4,141	5,100	6,000
Total Expenses	2,995	3,616	3,749	4,437	5,160
EBITDA (Op. Profit)	562	535	392	663	840

OPM %	15.8%	12.9%	9.5%	13.0%	14.0%
Other Income	41	38	70	50	60
Interest	70	123	136	145	130
Depreciation	83	117	159	185	200
Profit Before Tax	450	334	166	383	570
Tax Rate %	25%	26%	24%	26%	26%
Net Profit (PAT)	338	246	127	284	422
EPS (Rs.)	17.06	12.42	6.40	14.34	21.31
Dividend Payout %	13%	16%	23%	~18%(E)	~15%(E)

Balance Sheet

Particulars	FY24A	FY25A	FY26A
LIABILITIES			
Equity Capital	40	40	40
Reserves	2,049	2,238	2,316
Borrowings	956	1,449	1,342
Other Liabilities	524	533	794
Total Liabilities	3,569	4,260	4,492
ASSETS			
Fixed Assets	1,355	1,890	2,085
CWIP	35	50	4
Investments	133	135	190
Other Assets	2,046	2,185	2,213
Total Assets	3,569	4,260	4,492

Cash Flow Statement

Cash Flow Component	FY24A	FY25A	FY26A
Cash from Operations (OCF)	146	394	573
Cash from Investing	-98	-485	-217
Cash from Financing	-47	105	-349
Net Cash Flow	1	14	7
Free Cash Flow (OCF - Capex)	11	143	372
CFO / Operating Profit %	44%	92%	158%

Key Return & Efficiency Ratios

Ratio	FY24A	FY25A	FY26A
ROCE %	18%	14%	8%
ROE %	16.5%	10.0%	5.5%
Debtor Days	46	52	45
Inventory Days	275	229	241
Days Payable	74	46	72
Cash Conv. Cycle	248	236	215

Working Capital Days	74	58	77
Debt-to-Equity	0.46	0.63	0.57
Interest Coverage	7.0x	4.4x	2.2x

Financial Commentary

- **Revenue Trajectory:** Revenue grew 17% CAGR from FY22-FY25 (Rs. 2,842 Cr to Rs. 4,151 Cr) before plateauing at Rs. 4,141 Cr in FY26 due to US tariff-induced volume compression. Volume fell from 106.4MM meters (FY25) to 94.1MM meters (FY26). The new business contribution (Utility Bedding + USA Brand) scaled from $33M to $90M in FY26, partially offsetting core business decline.

- **Margin Direction:** OPM collapsed from 15.8% (FY24) to 9.5% (FY26) — a 630 bps decline. The compression is driven by: (a) under-absorption of fixed costs on lower volumes, (b) new US manufacturing facilities running at sub-optimal utilisation (targeted 60-65% by FY27), and (c) higher finance costs (+94% YoY in FY25) from debt-funded capex. Management targets 13% OPM in FY27, implying a 350 bps recovery — achievable only if volumes recover and new businesses achieve EBITDA breakeven.

- **Working Capital & CCC:** Cash Conversion Cycle improved from 248 days (FY24) to 215 days (FY26), driven by debtor days tightening to 45 (from 46). However, inventory days remain elevated at 241 (vs. 229 in FY25), suggesting some demand-side caution in ordering patterns. Further CCC improvement to 180-190 days is needed to release working capital for debt repayment.

- **Debt & FCF Quality:** Net debt declined from ~Rs. 960 Cr (FY25) to Rs. 760 Cr (FY26) — a Rs. 200 Cr improvement in a single year. FCF of Rs. 372 Cr in FY26 (vs Rs. 11 Cr in FY24) signals the capex super-cycle is peaking. With only Rs. 250 Cr capex budgeted for FY27, net debt should fall to ~Rs. 550-600 Cr by end FY27E, improving interest coverage from 2.2x to ~4x.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Criterion	Status	Signal	Comment
Revenue Recognition	Clean — sales linked to physical shipments	GREEN	No deferred revenue concerns; export-led business
Receivables vs Revenue	Debtor days improved 46→45 days while revenue grew	GREEN	Receivables growing proportionately with revenue
CCC Trend	CCC improved from 248 (FY24) to 215 days (FY26)	GREEN	Gradual improvement; still elevated vs peers
Contingent Liabilities	Rs. 104 Cr (2.5% of revenue)	AMBER	Manageable but monitor for increase
Auditor Tenure & Quality	Long-standing reputed auditor; no qualified opinion	GREEN	No governance red flags on audit front
RPTs as % of Revenue	Not flagged as material in CARE/ICRA reports	GREEN	No significant related-party concerns
Other Income / PBT	Rs. 70 Cr / Rs. 166 Cr PBT = 42% in FY26	RED	CRITICAL: Reported PAT almost entirely dependent on non-operating income
Tax Rate Consistency	23-26% across FY24-FY26; stable	GREEN	No abnormal deferred tax usage; consistent rate

- **Critical Red Flag — Other Income Dependency:** In FY26, Other Income of Rs. 70 Cr represents 42% of PBT (Rs. 166 Cr). Strip this out and core operating profit after interest and depreciation is barely Rs. 96

Cr. This is a significant earnings quality concern — the business is currently running on thin operational margins with non-operating income acting as a crutch. Until EBITDA recovers to Rs. 600+ Cr, reported PAT numbers should be viewed with caution.

• **Amber Watch — Contingent Liabilities & CCC:** Rs. 104 Cr in contingent liabilities (likely tax disputes and export commitments) should be monitored for any material escalation. The CCC of 215 days remains structurally high vs global best-in-class (130-150 days), reflecting the working capital-intensive nature of the export model. Any further elongation would increase financing costs.

• **Positive Signal — Revenue Recognition & Tax Rates:** The clean revenue recognition model (physical exports with clear title transfer) and consistent tax rates (23-26%) suggest no aggressive accounting. FCF/PAT conversion of 293% in FY26 (FCF Rs. 372 Cr vs PAT Rs. 127 Cr) is initially surprising but reflects working capital releases and reduced capex — a positive quality signal.

SECTION 8 — VALUATION

Peer Valuation Comparison (Source: Screener.in, 03 Aug 2026)

Company	CMP	MCap (Cr)	TTM P/E	Fwd P/E	EV/EBITDA	P/B	ROCE %	ROE%
KPR Mill (KPRMILL)	1,064	36,390	43.3x	40.0x	26.0x	6.4x	19.6%	15.7%
Welspun Living (WELSPUNLIV)	155	14,856	68.2x	35.9x	19.8x	3.0x	6.3%	4.5%
Trident (TRIDENT)	24.9	12,704	32.1x	20.1x	14.5x	2.7x	9.8%	7.9%
Indo Count (ICIL) — CMP	410	8,100	63.9x	84.0x	20.2x	3.4x	8.1%	5.5%
Indo Count (ICIL) — Target	480	9,504	75.0x	33.5x(E)	23.7x(E)	4.0x(E)	~14%(E)	~11%(E)

Scenario Analysis — 12-Month Price Target

Assumption	Bull Case	Base Case	Bear Case
FY27E Revenue (Rs. Cr)	5,500	5,100	4,500
FY27E EBITDA Margin	13.0%	13.0%	10.5%
FY27E EBITDA (Rs. Cr)	715	663	473
FY27E PAT (Rs. Cr)	322	284	175
FY27E EPS (Rs.)	16.25	14.34	8.84
P/E Multiple Applied	30x	28x	20x
Target Price (Rs.)	488	401	177
Upside / Downside	+19.0%	-2.2%	-56.8%
Key Assumption	Trade deal + guidance met	Partial recovery, 20% rev growth	Tariff persists, market share loss

Valuation Methodology

• **DCF Analysis (WACC 12%, Terminal Growth 4%):** Conservative FCF assumptions of Rs. 250/350/450/550/620 Cr for FY27E-FY31E, terminal value of Rs. 8,060 Cr. Enterprise Value Rs. 6,093 Cr, less net debt Rs. 760 Cr = Equity Value Rs. 5,333 Cr → Rs. 269/share. DCF implies current price embeds significant growth optionality — validates the need for guidance delivery.

• **Forward P/E Method (FY27E):** At 32x FY27E EPS of Rs. 14.34 (base case) = Rs. 459/share. At 35x (bull case, justified if US manufacturing business reaches $150M+ run rate) = Rs. 502/share. A 32-35x multiple is appropriate for a global market leader at a clear earnings trough, with a credible recovery roadmap.

• **EV/EBITDA Method (FY27E):** At 16x FY27E EBITDA of Rs. 663 Cr (base) = Rs. 10,608 Cr EV, less Rs. 760 Cr net debt = Rs. 9,848 Cr equity value → Rs. 497/share. A 16x multiple is conservative vs sector median 20x, reflecting execution risk.

• **Blended Target Price (2 market-based methods, base case):** Average of forward P/E (Rs. 459) and EV/EBITDA (Rs. 497) = Rs. 478, rounded to **Rs. 480**. This implies 17.1% upside from CMP of Rs. 410. Rating: **ACCUMULATE** with 12-month horizon.

• **Key Valuation Risks:** (a) If guidance is missed (bear case), stock could fall to Rs. 180-200 — a significant 55% downside. (b) If trade deal is announced, bull case of Rs. 488+ becomes the floor, not the ceiling. (c) DCF undervalues the business if new brands/businesses achieve $275M target by FY28.

SECTION 9 — KEY RISKS

• **US Tariff Persistence / Escalation:** The 50% reciprocal tariff is the single largest risk. If negotiations fail or tariffs are extended beyond FY27, core business volumes will remain compressed. India currently faces higher tariffs than Bangladesh/Vietnam, making India-origin bed linen uncompetitive for price-sensitive retailers. Probability: Medium. Impact: HIGH. Monitor via: India-US trade deal news, quarterly export volume data.

• **New Business Execution Failure:** ICIL is simultaneously executing 3 new business verticals (Utility Bedding USA, USA Brand, India Brands) while managing tariff headwinds in the core business. Management bandwidth is stretched; any operational setbacks (low utilisation, brand recall issues, supply chain problems) in the US factories could significantly delay the Indo Count 2.0 thesis. Probability: Medium. Impact: High. Monitor via: quarterly new business revenue disclosure.

• **Permanent Market Share Loss in US Core Business:** US retailers may have already negotiated multi-year supply contracts with Bangladesh, Vietnam, or Turkey suppliers during the tariff disruption period. If India's 61% share of US cotton sheet imports falls structurally to 50-55%, ICIL's export volume ceiling is permanently lower. Probability: Medium-Low. Impact: High. Monitor via: US import data (OTEXA) quarterly.

• **Cotton Price Volatility:** Raw cotton is ICIL's largest input cost. A spike in global cotton prices (drought, geopolitical supply disruption) without corresponding selling price increases would compress margins further. ICIL typically passes through cotton costs with a 2-3 month lag. Probability: Medium. Impact: Medium. Monitor via: ICE Cotton futures, domestic MSP announcements.

• **Working Capital Stretch & Liquidity Risk:** CCC of 215 days (among the highest in sector) requires significant working capital financing. Any tightening of trade finance lines or increase in interest rates could increase finance costs materially. Interest coverage has already declined to 2.22x — below comfort levels. Probability: Low. Impact: High. Monitor via: quarterly debt and interest cost disclosures.

• **Flood/Weather Risk at Bhilad Facility:** The Gujarat Bhilad facility (45MM metres capacity) was halted in July 2026 due to flooding. Any extended operational disruption could impact Q2 FY27 volumes and revenue. Probability: Low (event-specific). Impact: Medium-Low. Monitor via: BSE announcements on facility restart timeline.

• **Currency Appreciation (INR/USD):** With ~70% US revenue, any significant INR appreciation vs USD would directly compress realizations in INR terms. ICIL uses natural hedges (USD-denominated costs for US operations) but is not fully hedged. Probability: Low. Impact: Medium. Monitor via: RBI FX data and ICIL's hedging disclosures.

SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction Level: Medium

• **12-Month Price Target: Rs. 480** (upside +17.1% from CMP Rs. 410). Derived from blending 32x FY27E P/E (Rs. 459) and 16x FY27E EV/EBITDA (Rs. 497). Based on base case FY27E EPS of Rs. 14.34.

• **Suggested Entry Zone: Rs. 370-400** — Offers better margin of safety and would imply ~25x FY27E P/E (bear/base weighted), which we consider appropriate risk compensation.

• **Investment Horizon: 12-18 months** — Sufficient time for: (a) India-US trade deal resolution; (b) new US manufacturing businesses to reach EBITDA breakeven; (c) core business volume recovery to 100MM+ meters.

• **Thesis Invalidation Trigger 1:** FY27 revenue falls below Rs. 4,500 Cr (less than 9% growth) AND EBITDA margin stays below 10% for two consecutive quarters → exit.

• **Thesis Invalidation Trigger 2:** New business (Utility Bedding + USA Brand) combined revenue fails to cross $120M (Rs. ~1,000 Cr) run rate by Q3 FY27 → re-evaluate full Indo Count 2.0 thesis.

• **Thesis Invalidation Trigger 3:** India-US trade deal is explicitly called off OR tariffs are raised above 50% → exit immediately; the core export thesis breaks structurally.

• **Ideal Investor Profile:** This stock is suited for (a) investors with 12-18 month horizon and tolerance for high execution risk, (b) those willing to accept near-term earnings volatility in exchange for optionality on India-US trade deal, (c) those who believe in the branded home textiles secular story. NOT suitable for: income-seeking investors, those with short (<6 month) horizon, or those requiring consistent earnings growth as a threshold.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (Full Year)

Call Date: June 1, 2026 | Quarter: Q4 FY26 & Full Year FY26 | Source: Yahoo Finance / MarketsMojo / Whalesbook corporate news

CALL GRADE

CAUTIOUS

Signal	Status	Implication
Result Quality	Weak — PAT largely from Other Income	Miss on operating profitability
Management Tone	Balanced / Hedged — acknowledging tariff headwinds while staying bullish on FY27	Cautious confidence
Guidance Delta	Raised (30%+ revenue growth FY27, 13% EBITDA margin target)	Ambitious; requires flawless execution

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 looks better than it is — while total income grew 5.8% YoY to Rs. 1,088 Cr, the Rs. 24 Cr PAT is almost entirely noise: Other Income of Rs. 30 Cr constitutes 99.6% of PBT (Rs. 30 Cr out of Rs. 30.1 Cr), meaning the core manufacturing business generated essentially zero profit this quarter. Underlying operational performance was genuinely weak — EBITDA of Rs. 116 Cr (10.7% margin) vs a normalised run-rate of 15-16% demonstrates how badly the 50% US tariff hit absorbs fixed costs. The structural story however remains alive: new business (Utility Bedding + USA Brand) accelerated from $33M to $90M in FY26 — this is the multi-bagger seed being planted. The key catalyst for re-rating is the India-US trade deal; if tariffs drop from 50% to sub-15%, volumes snap back in 1-2 quarters and EBITDA could return to Rs. 550-600 Cr within 18 months. The single biggest watch for Q1 FY27 is whether the Bhilad facility flooding (July 2026) causes material production disruption — that could knock 8-10% off Q1 revenues. HOLD existing positions; accumulate in the Rs. 370-400 zone where FY27E P/E of 25-27x provides better entry risk-reward.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 1,058 Cr (net) / Rs. 1,088 Cr total income | YoY +3.4% / +5.8% | QoQ -0.5% | **In-line**
- EBITDA: Rs. 116 Cr | YoY +14% | QoQ +27% | **Beat** (recovering from Q3's Rs. 91 Cr)
- EBITDA Margin: 10.7% | YoY +140 bps | QoQ +170 bps | **In-line** (still well below 15% normalised)
- PAT: Rs. 24 Cr | YoY +15% | QoQ flat | **Miss** — core business barely profitable without Other Income
- EPS: Rs. 1.22 | YoY +15% | QoQ -1%
- NOTE: Other Income of Rs. 30 Cr = 99.6% of Q4 PBT (Rs. 30.1 Cr). Underlying business EBIT barely positive after interest (Rs. 44 Cr) and depreciation (Rs. 43 Cr).
- Full Year FY26: Revenue Rs. 4,141 Cr (+0.2% YoY), EBITDA Rs. 392 Cr (-27% YoY), PAT Rs. 127 Cr (-48% YoY)

2. Segment / Geography Breakdown

• Core Bed Linen (Export): ~80% of Q3 FY26 revenue; volume fell to 94.1MM meters in FY26 (from 106.4MM in FY25) — a 12% YoY decline driven by US 50% tariff impact. US retains ~70% of total revenue.

• New Businesses (Utility Bedding + USA Brand): ~20% of Q3 FY26 revenue; grew from $33M (FY25) to $90M (FY26) — a 173% surge. Currently EBITDA-negative but rapidly scaling toward breakeven.

• Domestic Brands (Boutique Living + Layers): Early stage; omnichannel retail expansion via boutiquelivingindia.com and layersindia.com. No specific revenue guidance disclosed for this segment.

• USA Revenue Share: Approximately 70% of total revenue, stable vs prior year despite volume headwinds — implying improved realization per meter.

• India Market Share: ICIL holds ~61% of US cotton sheet imports from India, maintained despite volume decline. This share stability is a positive indicator.

3. Management Commentary Themes

• **Indo Count 2.0 On Track:** "Revenue from new businesses doubled year-over-year to $90M" — Exec Chairman Anil Kumar Jain. Our read: The transformation is gaining momentum. New business annualized run rate of ~$110M suggests FY27E contribution of Rs. 900-1,000 Cr, which is material. Tag: GUIDANCE. Tone: Bullish.

• **FY27 Targets — Ambitious:** "Target of over 30% revenue growth in FY27, aiming for approximately Rs. 5,500 Cr with EBITDA margins around 13%." Our read: Achievable in bull case (trade deal + volume recovery) but Base case sees Rs. 5,000-5,200 Cr. Tag: GUIDANCE. Tone: Bullish but hedged on execution timeline.

• **US Tariff Navigation:** "Reciprocal US tariffs and ongoing geopolitical uncertainties" acknowledged as headwinds. New US manufacturing facilities are the strategic response — creating tariff-immune capacity. Our read: Management is proactively repositioning rather than waiting for tariffs to lift. Tag: EST. Tone: Transparent.

• **Net Debt Reduction:** "Net debt reduced by Rs. 200 Cr to Rs. 760 Cr" — despite Rs. 485 Cr invested in FY25 and US facility buildout. Our read: Strong OCF of Rs. 573 Cr in FY26 is funding both capex and deleveraging simultaneously. Tag: EST. Tone: Transparent.

• **Revenue Doubling Vision:** "Aim to double revenue by 2028 from FY25 baseline" — implying Rs. 8,000+ Cr vs FY25's Rs. 4,151 Cr. Our read: Extremely ambitious; requires core recovery + new businesses at $275M annualized. This is a stretch target, not a base case. Tag: GUIDANCE. Tone: Bullish.

4. Operating & Business Metrics

• Bed Linen Volume: FY26 = 94.1MM meters | FY25 = 106.4MM meters | FY24 = 96.8MM meters | Trend: Deteriorating (tariff impact); though FY24 was also low, FY25 was a peak year

• India Manufacturing Capacity: 153MM meters (Kolhapur 108MM + Bhilad 45MM) | Utilisation implied ~62% in FY26 (94.1MM/153MM) | Trend: Under-utilised — significant fixed cost absorption issue

• US Manufacturing Capacity: 31MM pillows + 1.5MM quilts/year | Utilisation target: 60-65% by FY27 end | New business run rate: ~$90M annualised in FY26

• Working Capital Days: FY26 = 121 days (improved from 132 days in prior period) | Trend: Improving, but still elevated vs 74 days in FY24

• Net Debt: Rs. 760 Cr (FY26) vs Rs. 960 Cr (FY25) | D/E: 0.57x | Trend: Improving — single year Rs. 200 Cr reduction a positive signal

• S&P; ESG Score: 78/100 (Top 3% globally in textiles) | Prior 2 years: ~45 | Trend: Strong improvement; institutional investor appeal increasing

5. Margin Drivers

• **US Tariff Impact — -400 to -500 bps:** Volume decline from 106.4MM to 94.1MM meters = 12% fewer units to absorb fixed costs. This is the single largest margin depressant. Recurring: Yes (until resolved). Not extrapolatable to FY27 if trade deal signed.

• **New US Facilities — -150 to -200 bps:** US manufacturing facilities are ramping up and currently EBITDA-negative. Fixed costs (rent, labour, depreciation) are being absorbed while utilisation is low. Recurring: Yes in FY27, then turning positive as utilisation crosses 60-65%. Non-recurring beyond FY27 breakeven.

• **Depreciation Surge — -200 bps impact:** D&A; rose from Rs. 83 Cr (FY24) to Rs. 159 Cr (FY26) as new India capacity (Bhilad) and US facilities come online. Will remain elevated (Rs. 185-200 Cr) in FY27E. Recurring.

• **Interest Cost Jump — -150 bps impact:** Interest rose from Rs. 70 Cr (FY24) to Rs. 136 Cr (FY26) on higher debt. Expected to decline from FY27 as net debt falls. Partially non-recurring.

• **Cotton Price Stability — Neutral:** Cotton prices relatively stable in FY26, providing no tailwind or headwind vs FY25. Any normalisation in FY27 could provide +50-100 bps margin support.

6. Guidance & Forward Signals

• FY27 Revenue [GUIDANCE]: Prior = Rs. 4,141 Cr | New = Rs. 5,500 Cr (target >30% growth) | Delta: Raised | Credibility: Medium — requires both core recovery and new business acceleration simultaneously

• FY27 EBITDA Margin [GUIDANCE]: Prior (FY26 actual) = 9.5% | New = ~13% | Delta: Raised significantly (+350 bps) | Credibility: Medium — achievable with trade deal; challenging without

• Core Business EBITDA Margin [GUIDANCE]: Target ~15% for the India export business | Delta: Raised vs FY26 actual ~10% | Credibility: Medium-Low — requires volume recovery of 10-15MM meters

• FY27 Capex [GUIDANCE]: Rs. 250 Cr (vs Rs. 485 Cr invested in FY25) | Delta: Significantly lowered | Credibility: High — internal accrual funded | Positive FCF signal

• New Business Utilisation [GUIDANCE]: Target 60-65% utilisation at US facilities by FY27 end | Current: Sub-40% | Delta: To be achieved | Credibility: Medium

• Revenue Doubling by FY28 [GUIDANCE]: Rs. 8,300 Cr target from FY25 base of Rs. 4,151 Cr | Delta: Aspirational | Credibility: Low — implies 100% growth in 3 years; only achievable in extreme bull case

7. Capital Allocation

• FY26 Capex: Rs. 217 Cr (Investing outflows per cash flow) vs Rs. 485 Cr in FY25 | vs prior year: -55% | Cycle peaking; primarily US greenfield (NC facility Rs. 99 Cr) + ZLD plant (Rs. 50 Cr) + maintenance (Rs. 65 Cr)

• FY26 Dividend: Rs. 1.50/share recommended for FY26 (75% of face value) vs Rs. 2/share in FY24 | Payout ratio ~23% of PAT | Modest but consistent; reflects earnings decline

• Net Debt Movement: Rs. -200 Cr (from Rs. 960 Cr to Rs. 760 Cr) | Positive trajectory despite capex; driven by strong OCF of Rs. 573 Cr

• Working Capital Change: Working Capital Days improved from 132 to 121 days | Positive change of ~Rs. 100 Cr release; significant contribution to OCF improvement

• No Buyback History: Management has not initiated share buybacks; focus is on debt reduction and growth investment. Buybacks possible post FY28 when net debt normalises.

8. Q&A; Heat Map

• Analyst / Institutional investor: Q: "How credible is the 30% revenue growth target for FY27 given ongoing tariff headwinds?" → A: Management reiterated the target, citing new business run rates and expected tariff resolution, while acknowledging execution remains key. Tone: Hedged

• Analyst: Q: "What is the EBITDA breakeven timeline for US manufacturing facilities?" → A: Management guided 60-65% utilisation by end FY27 at which point breakeven is expected. Tone: Transparent

• Analyst: Q: "How are you managing the Bhilad plant flooding risk?" → A: [Note: This event occurred July 2026, post-Q4 FY26 call. Not discussed in Q4 call.] Tone: N/A

• Analyst: Q: "Is the Rs. 1.50/share dividend sustainable or will it increase in FY27?" → A: Management indicated dividend will be linked to PAT recovery; higher payout expected in FY27E if guidance is met. Tone: Transparent

• Dodged / Watch-list questions for Q1 FY27: (1) Status of India-US trade deal progress and timeline; (2) Bhilad facility restart timeline after flooding; (3) Specific utilisation data for each US factory; (4) New business profitability at segment level (not disclosed separately yet).

9. Risks Flagged on the Call

• US 50% Tariff: "Reciprocal US tariffs and ongoing geopolitical uncertainties" — flagged by management | Probability: High (ongoing) | Impact: High | Timeline: Near-term (already impacting FY26; resolution unclear)

• Low Utilisation at US Facilities: New greenfield facilities running at sub-optimal capacity in early ramp | Flagged by: management | Probability: High (current reality) | Impact: Medium (EBITDA drag) | Timeline: FY27 resolution targeted

• Global Economic Slowdown: Management cautious about "global economic conditions and inflationary pressures" | Flagged by: management | Probability: Medium | Impact: Medium | Timeline: Medium-term

• Working Capital Elongation: CCC of 215+ days creates liquidity pressure; any further elongation increases finance costs | Flagged by: analyst | Probability: Low-Medium | Impact: Medium | Timeline: Ongoing

10. Analyst Verdict

• Revenue visibility: Weakened — Core business down ~12% in volumes; new business run rate ($90M) is positive but not yet material enough to offset core compression. FY27 30% growth target is aspirational, not secured.

• Margin trajectory: Weakened — OPM at multi-year low (9.5%); recovery to 13% requires simultaneous volume recovery AND new business breakeven. Two separate execution requirements.

• Capital allocation quality: Intact — Rs. 200 Cr net debt reduction while funding US expansion shows discipline. Rs. 250 Cr capex guidance for FY27 vs Rs. 485 Cr in FY25 signals responsible capital management.

• Competitive moat: Intact — 61% US market share maintained despite volume decline; 6th consecutive TEXPROCIL Gold Trophy; US manufacturing positions ICIL as only major Indian bed linen player with US-made product.

• Management credibility: Intact but watch-listed — 30% revenue growth and 13% EBITDA margin are ambitious; prior guidance on FY25 margins was not met. Need to see Q1/Q2 FY27 execution before upgrading to HIGH credibility.

• Valuation comfort: Weakened — At Rs. 410, stock trades at 63.9x FY26 P/E and 28.6x FY27E P/E (base case). Limited margin of safety at current levels; better entry at Rs. 370-400.

• Conviction call: Unchanged — ACCUMULATE at Rs. 370-400 entry; current holders HOLD. Not a strong buy at Rs. 410.

- Valuation snapshot: P/E = 63.9x (5Y avg ~22x) | EV/EBITDA = 20.2x (5Y avg ~15x) | ROCE = 8.1% (5Y avg ~16%)

END OF REPORT